

VSEUS Weekly Economics Gazette Newsletter

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.

Send us feedback to finance@vseus.ca!

Macro Overview:

This week's narrative was shaped by the Russia-Ukraine war and a potential peace deal. Ukrainian and European negotiators were shocked after Trump's team drafted a potential deal that undermined Ukraine autonomy and current territory control over the Donbas. Furthermore, investors remained cautious about the probability of AI investments. This can be seen from Vanguard Information Technology Index, which increased 1.18% this week. The best tech performer was Google, as investors rewarded the stock for its vertical business integration.

Market Performance:

	Current weekly performance	Past week performance
S&P 500	+0.95%	-1.67%
TSX	+4.27%	+0.13%
	Ending Yield this week	Past weekly Ending Yield
U.S. 10 Year Treasury Yield	4.007%	4.091%
Canada 10 Year Bond Yield	3.129%	3.228%

Questioning AI Added Value and its Relation with Banking

Author, Source & Date Published: Sidhartha Shukla & David Pan, November 14th, 2025

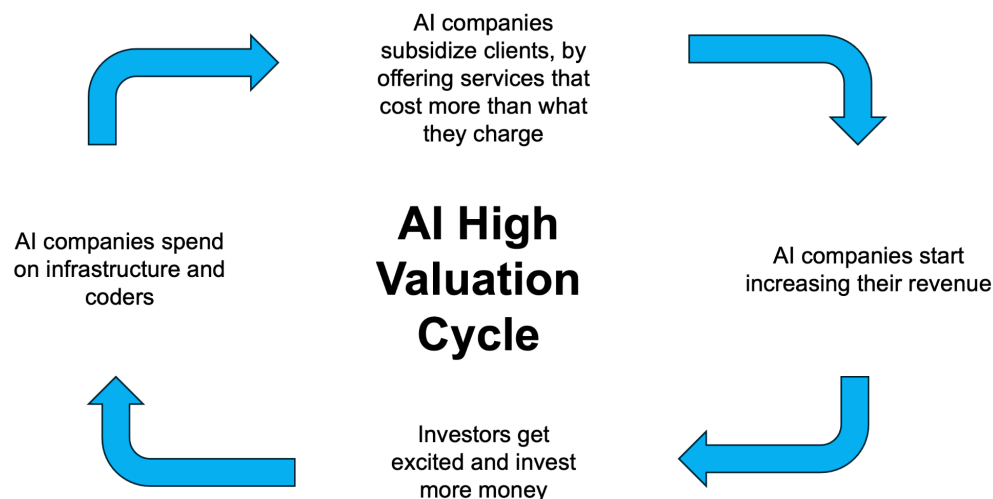
Link: [WSJ Article](#) & [Nvidia Article](#)

Overview

Financial Institutions have been capitalized from this AI boom. None only from having better returns on their balance sheets, but on how they are able to cost and increase productivity. An example of this is RBC implementation of Nvidia's chip into their financial analysis operation.

Economic Context:

Investors are feeling hesitant over the future profitability of AI investments. As outlined by the WSJ article, they are afraid of high valuations based on subsidized revenues.



Internal Creation, Economics Gazette, 2025. Inspired by [WSJ](#).

Risk and Catalysts:

- **Risks:** Investors have destroyed around billions of dollars in market cap in the last two weeks, as investors fear that the AI is a bubble as experienced in the dot com era in the 2000s. Portfolios with leverage high exposure to this AI stock could be wiped out by these price swings

- **Catalyst:** Automation through AI has permitted financial institutions to streamline their research process. RBC's Agentic AI has permitted a 60% faster report creation. Furthermore, analysts are now able to cover up to 50 companies, jumping from the standard 15 companies benchmark. It's all about increasing productivity and cutting costs. Companies are able to do more with less employees.

Educational Angle:

We discuss the vicious cycle that has led to high AI valuation. This high valuation is a product of the trade cycle.

What is the trade cycle from the perspective of an institutional investor?

The trade cycle is the required process that a transaction needs to follow to enter/exit a financial position. These are its following steps:

1. An investor has the interest to start or exit a trade.
2. The market matches the investor with a counterpart.
3. The trade details are captured (time, date, quantity, price, etc).
4. The trade is approved by the compliance and risk team.
5. The details of the transaction are verified by the both parties, to check they align.
6. The banks exchange settlement instructions to complete the transaction. Not all of the time the stocks are whole by the primary parties. Institutional investors can rely on custody banks, whose main function is to keep those assets safe, income processing of potential dividends, and account reconciliation.
7. Cash and securities are delivered to the CSD (Central security depository). This institution acts as a middleman between the parties and exacts individual contracts to make sure that the assets and cash are delivered accordingly. In this way, the contract can be respected even if one of the parties goes bankrupt, because the CSD requires collateral to protect the deal.

Trades are not only perform by a book keeping system as you might have experienced through a stock exchange. It is important to understand the steps of the trade cycle, as it needs to comply with many laws and regulations.

A Note of Optimism: “In the long run, we are all dead”

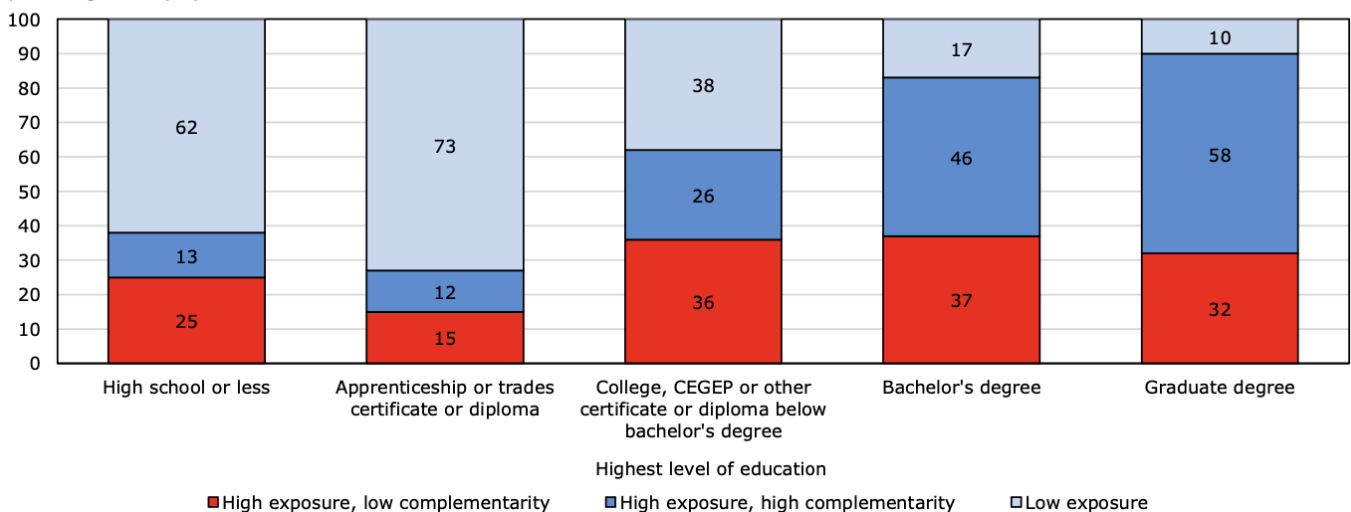
Author, Source & Date Published: The History of Technological Anxiety and the Future of Economic Growth: Is This Time Different? By Mokyr, Vickers and Ziebarth

Link: [Journal of Economic Perspectives](#)

With deepfakes getting mindblowingly convincing and central figures in the AI world like Sam Altman promising science-fiction trajectories for the technology’s future capacity, it’s hard not to feel the weight of rapid technological advancement. Even harder not to be excited about all that AI will be able to fix, the exchange of knowledge it will bear, the level of productivity it is bound to achieve and maybe for some, the wealth and prosperity it might bring about. But hardest of all is avoiding a feeling of nervousness and skepticism. Maybe even it could be considered a disadvantage. If you’re reading this newsletter, chances are that you have spent your life convinced that with the appropriate education you’ll have door after door open up to you. And you weren’t completely deceived. That was once the case, when our parents didn’t have to compete with God-like robots that render cognitive abilities beyond what human imagination could comprehend for centuries.

Potential artificial intelligence occupational exposure and complementarity across education levels in Canada, May 2021

percentage of employees



Source: Mehdi & Morissette, Statistics Canada

So the urge to give into the wave of neo-luddites who warn against all that AI will destroy as opposed to create is strong. With opinions and perspectives flying in every and all directions, distinguishing fact from fiction can be difficult. **To what extent are our technological anxieties warranted?** Mokyr and his colleagues set about answering that question; with some help from the past.

Anxieties about technological advancement have clouded economic literature since the industrial revolution, particularly when it comes to their labour-displacing effects. The first wave of luddites saw innovation and machines strip away their livelihood and decided bashing them to pieces would be an appropriate measure (Disclaimer: this is not an invitation to violence). The economists at the time were not blind to this. **Figures like Adam Smith, Karl Marx, John Stuart Mills, John Maynard Keynes** and many others documented what they saw during both the industrial revolution and the Great Depression and weren't entirely apathetic.

Educational Angle

There are essentially 3 main perspectives when it comes to the downsides of the tech-labour interaction:

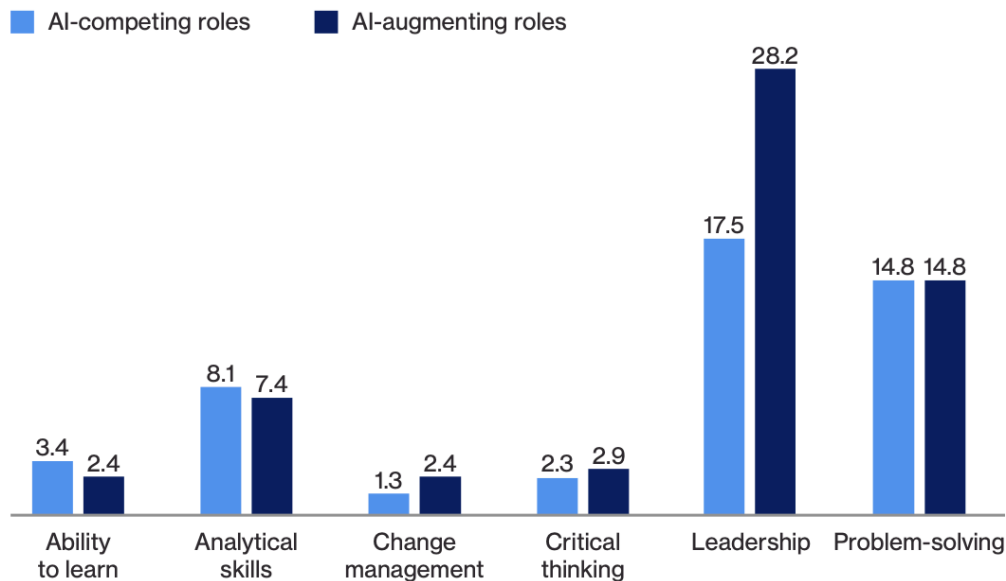
1. Machines substitute human labour. Workers will be displaced in the short-run and major damage to wage growth will lead to inequality.
2. Technology will eliminate work itself, or at least the kind of work that people like Thomas Jefferson considered fulfilling and worthy of human dignity. This was reflected in the horrendous conditions that factory workers endured in the early stages of industrialization.
3. Technology will hit its eventual threshold. This lack of faith in the continuity of technological advancement was at the core of the Great Depression.

Economists agreed that the short-term impacts on labourers and the working class during the industrial revolution and the Great Depression was in fact "injurious". **Because the rate at which labour was displaced far exceeded the rate at which it was re-absorbed into the market.** It just so happened that the gains from industrialization were so astonishingly large that a temporarily-displaced class felt like a small price to pay.

And what was more, a **whole new class of jobs had to be created to complement the unprecedented volumes of production.** Factory managers, accountants, mechanics and numerous more technically-demanding jobs were introduced (what is known as the **reinstatement effect of new technology**). Better working conditions, higher consumption and less physically-straining occupations eventually faded the memory of the initial disruptions, albeit, with a lag. The factory workers got displaced in the short-run while their children gained in the long-run. Because all seems to work out when you stretch the time horizon, alas, "in the long run, we are all dead".

Reports of the Canadian labour market already show that the demand for AI-related skills far exceeds what is readily available in the labour market. This is because many occupations in the developed world, where production is a cognitive one and not a physical one, are highly exposed to AI. We face the displacement that the world has witnessed before, and we are currently in the chaotic and unfortunate short-run.

Different skills demand by occupation groups
(percentage share of job postings requiring the skill, 2024)



Source: The Conference Board of Canada's analysis of High-Frequency Labour Market Data

Mokyr and his colleagues put forth some propositions about what this means. First, **the idea that technological advancement will somehow hit a threshold and stagnate in a stationary state is perhaps easier to dismiss now than ever.** Second, the displacing effects of AI are neither a doom's day prophecy nor a negligible event. The lesson learned from the past is a simple and applicable one: there must be incentive and policy that will develop the "right" kind of AI, encourage the necessary adjustment in human capital to meet newly-formed labour demands, and appropriate measures that boost the distribution of productivity gains to prevent the widespread inequality that riddled the in the past.